

From council tax to land value tax: who gains from a revenue-neutral reform?*

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Abstract

Council tax, the UK’s principal recurrent property tax, is based on 1991 valuations and is regressive with respect to property value. We use PolicyEngine UK, an open-source static microsimulation model built on the Enhanced Family Resources Survey, to simulate replacing council tax’s £57.6 billion of net revenue with a flat annual tax on the unimproved value of land. We impute land values to every household by combining Wealth and Assets Survey property wealth with region-specific land shares and an allocation of £2.06 trillion of corporate land, calibrating aggregates to an ONS National Balance Sheet total of £7.46 trillion for 2026–27. We calculate a budget-neutral rate of 0.77 per cent of land value per year. At this rate we estimate that the average household in each of income deciles 1–8 gains — £481 per year (2.3 per cent of net income) in the poorest decile — while deciles 9 and 10 lose £991 and £966 respectively, and 68 per cent of households gain overall. Absolute poverty before housing costs falls by 0.65 percentage points (1.04 points after housing costs). The Gini coefficient of equivalised household net income is essentially unchanged (+0.0004), yet when households are ranked by wealth the burden shifts markedly towards the wealthiest: the top wealth decile — which we estimate holds 48.5 per cent of household land — loses £5,573 per year on average and decile 9 loses £1,042, while wealth deciles 1–7 gain between £484 and £1,464. Our results suggest that a revenue-neutral land value tax would redistribute from land wealth towards households with little land while leaving conventional income-inequality statistics largely unaffected.

Keywords: land value tax, council tax, microsimulation, tax incidence, poverty, inequality, United Kingdom

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1 Introduction

Council tax is the United Kingdom’s principal recurrent tax on residential property, with gross receipts of approximately £62 billion forecast for 2026–27 (OBR, 2025). Its design has attracted sustained criticism in the public-finance literature (Mirrlees et al., 2011; Adam et al., 2020). Dwellings in England and Scotland remain assessed on their estimated value as at 1 April 1991; the banding structure is capped, with the top band in England (Band H) covering all properties worth £320,000 or more *in 1991 prices*, so that properties of widely differing current values share the top band and face nearly identical bills; and effective tax rates decline as a share of property value as that value rises. Council tax is therefore regressive with respect to the value of the asset it nominally taxes, bears a weak relationship to households’ current ability to pay, and discourages investment in property improvements.

This paper examines the household-level consequences of abolishing council tax and replacing its net revenue, pound for pound, with a flat annual tax on the unimproved value of land. The land value tax (LVT) has a long intellectual pedigree, from George (1879) through the optimal-taxation literature (Ramsey, 1927) to the review by Mirrlees et al. (2011), resting on the observation that the supply of land is fixed: a tax on pure land rents raises revenue without discouraging productive activity. The UK policy debate, however, has to date lacked a household-level quantification of the gains and losses such a reform would generate.

We provide such a quantification. Using PolicyEngine UK, an open-source static microsimulation model of the UK tax and benefit system built on an enhanced version of the Family Resources Survey (PolicyEngine, 2026), we proceed in three steps. First, we impute a land value to every household by combining survey property wealth with region-specific land shares and an allocation of corporate-sector land, calibrating national aggregates to the ONS National Balance Sheet (ONS, 2025). Second, we reconstruct council tax liabilities bottom-up by region, band and discount status, calibrated to Valuation Office Agency dwelling counts. Third, we simulate replacing the model’s net council tax revenue of £57.6 billion (gross liabilities of £61.9 billion less £4.3 billion of council tax reduction) with a flat-rate LVT for fiscal year 2026–27; Section 3 discusses how this model-based figure compares with the OBR receipts forecast. Against an estimated UK land base of £7.46 trillion, we calculate that revenue neutrality requires a rate of 0.77 per cent of land value per year.

Our results suggest three principal findings. First, the swap is progressive across most of the income distribution: we estimate that the average household in each of income deciles 1–8 gains, with the poorest decile gaining £481 per year — 2.3 per cent of its net income — while the top two deciles lose £991 and £966 per year respectively; 68 per cent of households gain overall. Second, the reform reduces poverty: the absolute poverty rate before housing costs falls by 0.65 percentage points, and by 1.04 points after housing costs. Third, the Gini coefficient of equivalised household net income is essentially unchanged (+0.0004) even though the burden shifts markedly towards the wealthy: ranked by household wealth rather than income, the top wealth decile loses £5,573 per year on average and decile 9 loses £1,042, while wealth deciles 1–7 gain between £484 and £1,464. These findings can be reconciled by observing that land wealth is far more unequally distributed than income — we estimate that the top wealth decile holds 48.5 per cent of household land — but is only weakly correlated with current income, so that a tax on land redistributes across the wealth distribution in ways that income-based inequality statistics register only faintly.

In addition to the central budget-neutral scenario, we trace out a rate grid from 0.5 to 5 per cent, documenting how revenue (from £37.3 billion to £373.2 billion), poverty and inequality

vary with the rate, and we decompose the tax base into household and corporate land.

The remainder of the paper proceeds as follows. Section 2 situates the analysis in the literature on land taxation and UK property-tax reform. Section 3 describes the data, the land-value imputation, the council tax baseline and the reform implementation. Section 4 presents the distributional results. Section 5 summarises the findings, discusses limitations and policy implications, and concludes. An appendix reports the full rate grid, a summary of landless households, a worked single-household example and a data and parameter summary.

2 Related literature

2.1 The economics of land value taxation

The case for taxing land rests on the classical observation that land is supplied inelastically. George (1879), in *Progress and Poverty*, argued that the rental value of unimproved land is a socially created surplus — driven by population, public infrastructure and agglomeration rather than by any effort of the owner — and proposed a “single tax” on land values to replace taxes on labour and capital. The modern optimal-taxation literature formalises the intuition: because the base cannot shrink in response to the tax, a levy on pure land rents generates no substitution effect and hence no deadweight loss, making it the canonical example of efficient taxation in the Ramsey (1927) inverse-elasticity framework. Feldstein (1977) qualified the classical view by noting general-equilibrium portfolio effects, but the presumption that land taxes are unusually efficient survives.

Two further strands reinforce the theoretical case. Arnott and Stiglitz (1979) establish the Henry George Theorem: under conditions of optimal city size, aggregate land rents exactly finance the efficient level of local public expenditure, giving land taxation a normative role beyond efficiency — it is the natural fiscal counterpart of the public goods that generate land value. In cross-country empirical work, Johansson et al. (2008) rank recurrent taxes on immovable property as the least harmful to long-run growth among the major tax instruments, ahead of consumption, personal income and corporate income taxes. More recently, Bonnet et al. (2021) document that the post-1980 rise in wealth-to-income ratios is to a large extent a rise in the price of residential land, and argue that land is accordingly both an increasingly important and an administratively feasible tax base for contemporary economies.

The empirical evidence, while limited by the scarcity of implemented land taxes, is broadly consistent with the theory. Oates and Schwab (1997) examine Pittsburgh’s two-rate property tax — which taxed land at more than five times the rate applied to structures — and find that the city sustained substantially higher building activity than comparable cities in the same period; they attribute this partly to the land tax’s neutrality with respect to development, while noting the difficulty of isolating the tax’s contribution from concurrent local conditions. Tideman (1995) argues on theoretical grounds that land taxation is better than neutral, as it discourages speculative withholding of developable land. The contributions collected in Dye and England (2009) temper this optimism by documenting the practical assessment challenges — above all, separating land from improvement value at scale — that have historically limited adoption.

2.2 UK property taxation and council tax

The deficiencies of council tax are well documented. [Mirrlees et al. \(2011\)](#) concluded that UK housing taxation lacks a coherent rationale: council tax is regressive in property value and based on obsolete 1991 valuations, while stamp duty land tax taxes transactions and thereby impedes mobility. The review proposed replacing both with a Housing Services Tax proportional to the consumption value of housing, complemented by a land value tax on business land — an explicit endorsement of land taxation where valuation is feasible. Subsequent work has quantified the regressivity that motivates reform: [Adam et al. \(2020\)](#) show that effective council tax rates as a share of property value fall sharply across the price distribution, and that the absence of revaluation in England and Scotland leaves relative price changes since 1991 — most notably London’s appreciation — untaxed. [Muellbauer \(2005\)](#) argues that reforming council tax into a proportional property tax with regular automatic revaluation would also stabilise the housing market, and the OECD’s most recent survey of the UK likewise recommends updating property valuations and reforming council tax ([OECD, 2024](#)).

A body of applied UK work has modelled alternatives. [Corlett and Gardiner \(2018\)](#) examine options including a proportional property tax and a partial LVT at the aggregate and regional level; [Fairer Share \(2021\)](#) propose a proportional property tax of 0.48 per cent of current property value and estimate that roughly three-quarters of households would pay less — a useful comparator for our finding that 68 per cent of households gain at a 0.77 per cent tax on the narrower land base. [Murphy and Snelling \(2019\)](#) model council tax reform for London. In Scotland, the cross-party Commission on Local Tax Reform ([Scottish Government, 2015](#)) concluded that the present system must end and assessed property, land and income bases, and [Hughes et al. \(2018\)](#) examine LVT options for the Scottish Land Commission, highlighting valuation and transition as the binding constraints. [Leunig \(2024\)](#) propose replacing both council tax and stamp duty with proportional levies on current values. Closest to our exercise, [ap Gwilym et al. \(2020\)](#) assess the feasibility of a local land value tax for Wales for the Welsh Government, simulating revenue-neutral rates at local-authority level using small-area land value estimates.

2.3 Contribution

Relative to this literature, our contribution is a household-level microsimulation of a full council-tax-to-LVT swap for the UK, with land values imputed to each of the roughly 28 million households in a nationally representative micro-dataset, calibrated to national balance-sheet aggregates, and run through a complete model of the tax and benefit system so that interactions with means-tested benefits and poverty lines are captured. Prior UK LVT analyses have generally worked with regional, band-level or local-authority aggregates — the Welsh assessment of [ap Gwilym et al. \(2020\)](#) being the most detailed to date — rather than with household micro-data linked to the full tax and benefit system. To our knowledge this is the first open-source, household-level distributional analysis of a revenue-neutral LVT for the whole of the UK, and the code and data pipeline are fully reproducible ([PolicyEngine, 2026](#)).

3 Data and methodology

3.1 Microdata

Our simulations use PolicyEngine UK ([PolicyEngine, 2026](#)), an open-source static microsimulation model of the UK tax and benefit system, run on the Enhanced Family Resources Survey

(EFRS) for 2023–24, uprated to fiscal year 2026–27. The EFRS augments the standard Family Resources Survey in two ways. First, because household surveys under-represent the top of the income distribution, synthetic high-income records are generated by training a quantile random forest on HMRC’s Survey of Personal Incomes (SPI) and imputing the upper tail of incomes. Second, household weights are calibrated by gradient descent so that the weighted dataset matches a large set of national and regional administrative totals from the ONS, HMRC and DWP — including population by age and region, income components, and benefit caseloads. Wealth variables, including property wealth and corporate (financial) wealth, are imputed from the ONS Wealth and Assets Survey (WAS).

3.2 Council tax baseline

The FRS records council tax imperfectly, so we reconstruct liabilities. Each household is assigned a council tax band (A–H in England and Scotland, A–I in Wales) and a bill equal to the average band rate in its region, with the 25 per cent single-person discount imputed to single-adult households. Band assignment probabilities are calibrated so that the distribution of dwellings by region and band matches Valuation Office Agency (and Scottish Assessors) counts. This bottom-up reconstruction yields, for 2026–27, gross council tax of £61.9 billion; netting off £4.3 billion of means-tested council tax reduction gives net revenue of

$$R_{CT} = 61.9 - 4.3 = \text{£}57.6 \text{ billion}, \quad (1)$$

which is the amount the land value tax must replace. We note a calibration caveat: this model-based figure exceeds the Office for Budget Responsibility’s accruals-based council tax receipts forecast of approximately £53.7 billion (OBR, 2025). Were the replacement target instead calibrated to OBR-consistent receipts, the revenue-neutral rate would be approximately 0.71 rather than 0.77 per cent; all results below use the internally consistent model figure, which ensures that the simulated LVT replaces exactly the council tax the model abolishes household by household. Northern Ireland operates a separate domestic rates system, which we leave unchanged (see Section 5).

3.3 Imputing land values

The tax base is the unimproved value of land held directly (residential land under owner-occupied and other household-owned property) and indirectly (land on corporate balance sheets, attributed to households as ultimate owners). For household i in region r , land value is

$$L_i = \underbrace{\lambda_r P_i}_{\text{household land}} + \underbrace{\frac{K_i}{\sum_j K_j w_j} L^{\text{corp}}}_{\text{allocated corporate land}}, \quad (2)$$

where P_i is WAS-imputed property wealth, λ_r is the region-specific land share of property value, K_i is the household’s corporate wealth, w_j are survey weights, and $L^{\text{corp}} = \text{£}2.06$ trillion is aggregate corporate-sector land. Land shares λ_r vary from 85 per cent in London to 42 per cent in the North East, reflecting the fact that in high-price regions almost all of the price differential is location value rather than structure cost. Corporate land is allocated proportionally to each household’s corporate wealth, treating shareholdings (direct and via pensions) as the ultimate claim on corporate assets.

Aggregates are calibrated to targets in the PolicyEngine UK data pipeline derived from the sectoral tables underlying the ONS National Balance Sheet (ONS, 2025): UK land of £7.10 trillion at end-2024, split into £5.04 trillion household and £2.06 trillion corporate. (These derived targets differ from the headline bulletin presentation, which reports household non-produced assets of approximately £4.6 trillion in 2024 on a different sectoral grouping.) We uprate to 2026–27 using OBR per-capita nominal GDP growth (OBR, 2025), giving a total land base of

$$L = \sum_i L_i w_i = \text{£7.46 trillion}, \quad (3)$$

comprising £5.40 trillion of household land and £2.06 trillion of corporate land. The model total is 105.1 per cent of the (un-uprated) 2024 ONS benchmark. Land so measured is 68.4 per cent of total property wealth and 27.7 per cent of total household wealth (£26.98 trillion); mean land value per household is £232,672 and the median is £93,796.

3.4 The reform and the revenue-neutral rate

The reform (i) abolishes council tax in Great Britain and (ii) levies a flat annual tax at rate r on each household’s land value L_i , implemented in PolicyEngine UK via the parameters `gov.contrib.ubi_center.land_value_tax.rate` and `gov.contrib.abolish_council_tax`. The budget-neutral rate equates LVT revenue with net council tax revenue:

$$r^* = \frac{R_{CT}}{L} = \frac{57.6}{7,463} = 0.77\%. \quad (4)$$

The net income change for household i is $\Delta y_i = CT_i - r^* L_i$, where CT_i is the abolished council tax liability (net of council tax reduction). Three maintained assumptions govern incidence, all standard in static microsimulation. First, incidence is assigned entirely to current landowners: we assume no behavioural response and no capitalisation of the tax into land prices. Second, rents are held fixed, so renters — who own no residential land — retain their abolished council tax liability in full and pay LVT only on any corporate wealth they hold. Third, the land base is held fixed across the rate grid, consistent with the inelastic supply of land. All results are for simulation year 2026, with poverty measured as absolute poverty against a baseline-fixed threshold, before housing costs (BHC) and after housing costs (AHC), and inequality by the Gini coefficient of equivalised household net income. In addition to the central rate $r^* = 0.77\%$ we simulate a grid of rates $\{0.5, 1.0, 1.5, 2.0, 3.0, 5.0\}$ per cent to trace out revenue and distributional effects, and decompose revenue by base scope (household-only versus corporate-only land).

4 Results

4.1 Where land value sits

The distributional consequences of an LVT are determined by the distribution of its base, which we describe first. Table 1 reports average land value, property wealth and land shares by decile of equivalised household net income. Average land value rises with income — from £126,808 in the poorest decile to £443,238 in the richest — but less than proportionally: average income in decile 10 is 6.8 times that of decile 1, while its average land value is 3.5 times as large. The top two income deciles together hold 35.4 per cent of household land.

Table 1: Average land value and property wealth by decile of equivalised household net income, 2026–27

Income decile	Avg. income (£/yr)	Avg. land value (£)	Avg. property wealth (£)	Share of land (%)
1	20,892	126,808	137,350	6.3
2	32,002	186,145	168,644	7.5
3	35,343	185,031	199,254	8.4
4	38,862	146,170	158,230	6.2
5	43,040	182,374	200,550	8.7
6	53,466	220,434	241,700	8.8
7	56,524	186,424	221,455	7.8
8	66,954	268,393	297,982	10.8
9	77,106	418,652	446,759	17.4
10	141,326	443,238	429,936	18.0

Source: Authors’ calculations using PolicyEngine UK.

Regional variation is at least as pronounced as variation by income. Average household land value is £369,802 in London and £286,311 in the South East, compared with £153,631 in the North East and £159,535 in Scotland (Figure 2) — a ratio of 2.4 to 1 that reflects both higher property prices and higher land shares of those prices in the South. Across household types, pensioner couples hold the most land on average (£431,377), followed by working-age couples without children (£303,440); lone parents, who are predominantly renters, hold very little (£7,797) (Figure 3). Ranked by total wealth rather than income, concentration is far greater: the bottom three wealth deciles hold essentially no land, while the top wealth decile averages £1,065,658 — 48.5 per cent of all household land (Table 4 below). Overall, 17.2 per cent of households hold no land.

4.2 Revenue and the rate schedule

Because the base is fixed in the static framework, LVT revenue is linear in the rate: each 0.1 percentage point raises approximately £7.5 billion. Table 2 reports revenue across the rate grid. A 0.5 per cent rate raises £37.3 billion — £20.3 billion less than council tax — while a 1 per cent rate raises £74.6 billion and a 5 per cent rate raises £373.2 billion. The budget-neutral rate is 0.77 per cent (equation 4). Decomposing the base at a 1 per cent rate, household land contributes £54.0 billion and corporate land £20.6 billion of the £74.6 billion total. The corporate component — 28 per cent of revenue — falls on households in proportion to their shareholdings, and its inclusion permits a lower rate for any given revenue target than a purely residential base would require.

4.3 Distributional impact by income decile

Table 3 and Figure 5 report the central result: the average change in household net income at the budget-neutral 0.77 per cent rate, by income decile. The average household in each of deciles 1–8 gains. The poorest decile gains most in both absolute and relative terms — £481 per year, or 2.3 per cent of net income — because its average council tax bill (£1,460, reflecting the compressed

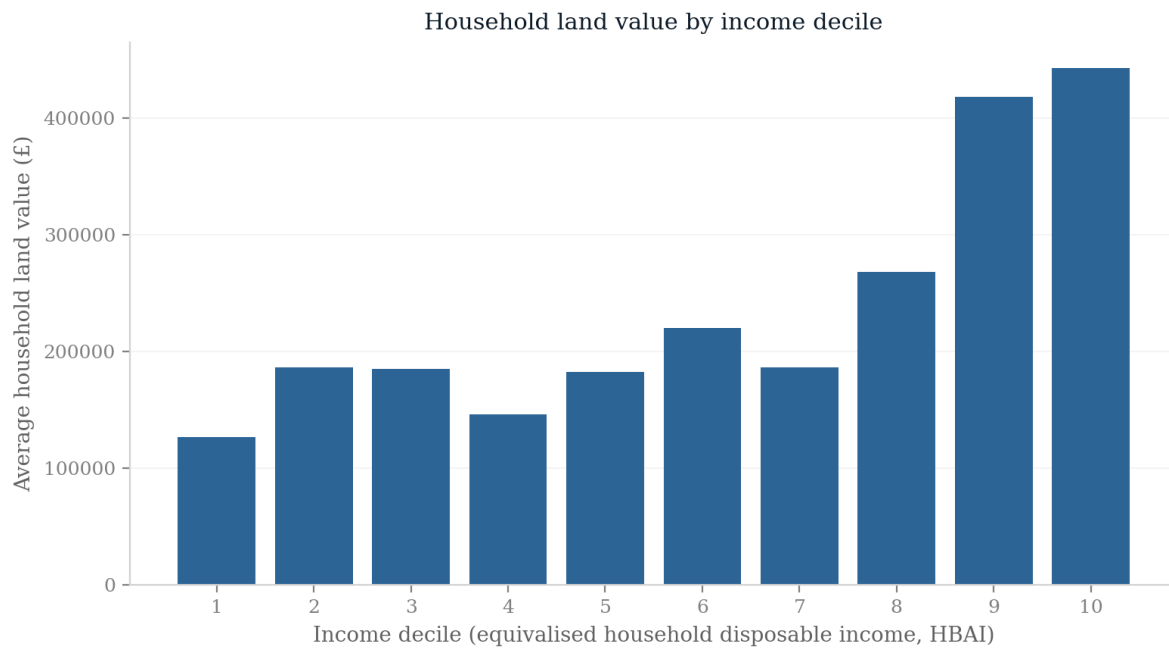


Figure 1: Average land value by income decile.

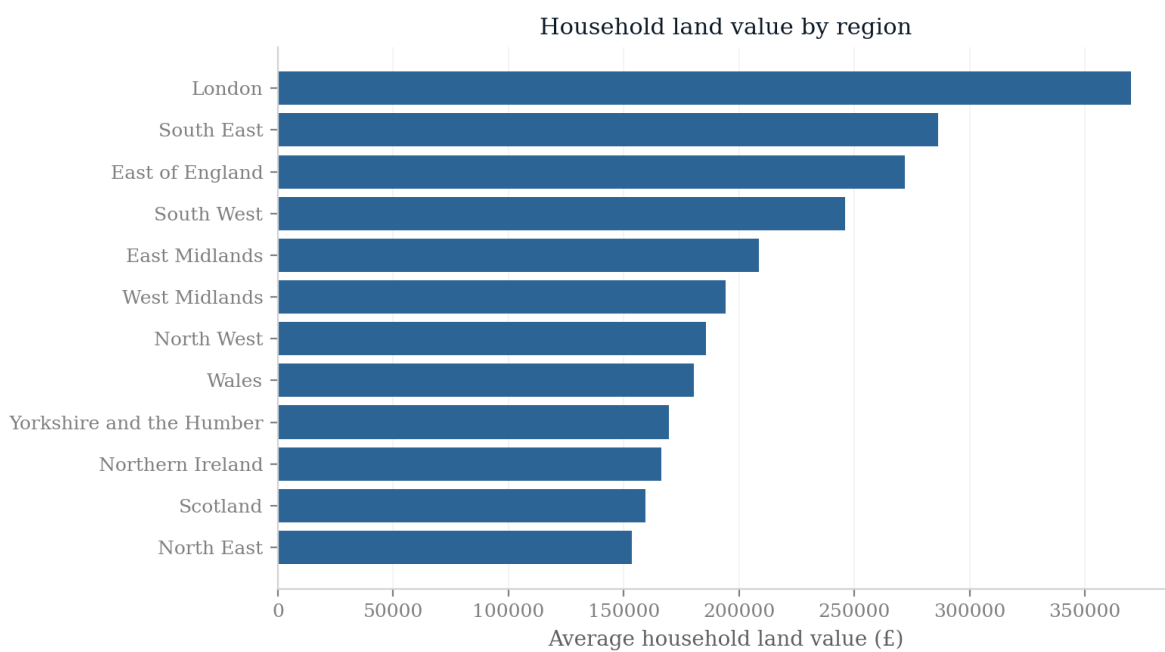


Figure 2: Average household land value by region.

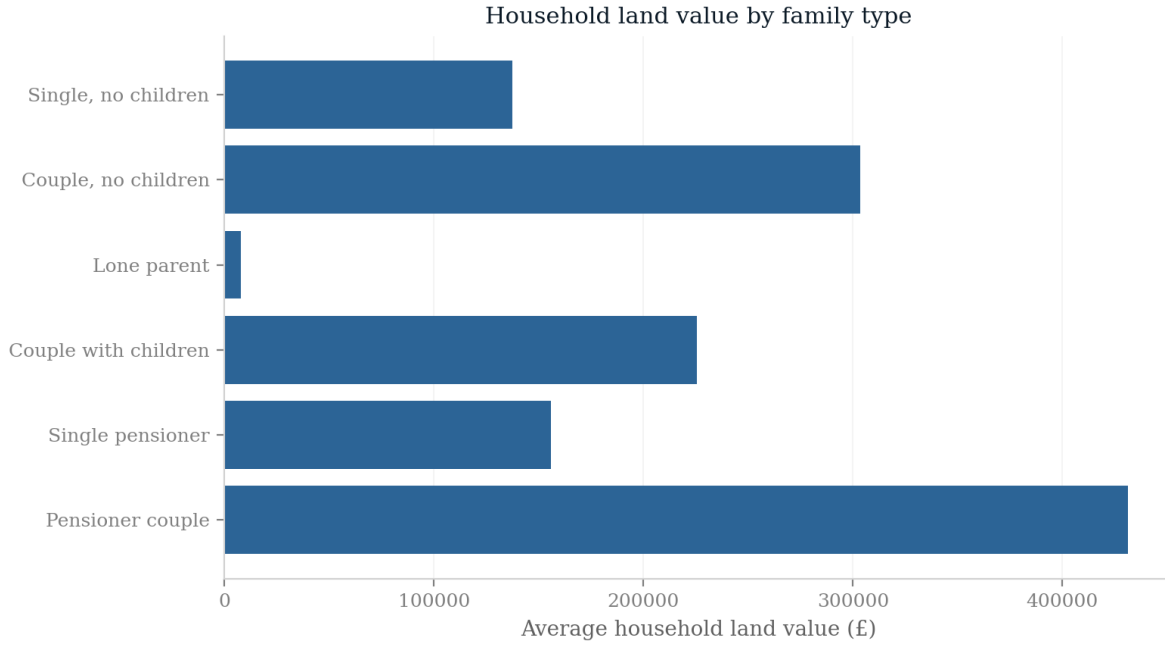


Figure 3: Average household land value by family type.

Rate	LVT revenue (£bn)	Council tax (£bn)	Net revenue (£bn)	Avg. LVT per household (£)
0.5%	37.3	57.6	−20.3	1,163
1.0%	74.6	57.6	17.0	2,327
1.5%	111.9	57.6	54.3	3,490
2.0%	149.3	57.6	91.6	4,653
3.0%	223.9	57.6	166.3	6,980
5.0%	373.2	57.6	315.5	11,634

Note: Net revenue is LVT revenue less replaced council tax revenue. *Source:* Authors' calculations using PolicyEngine UK.

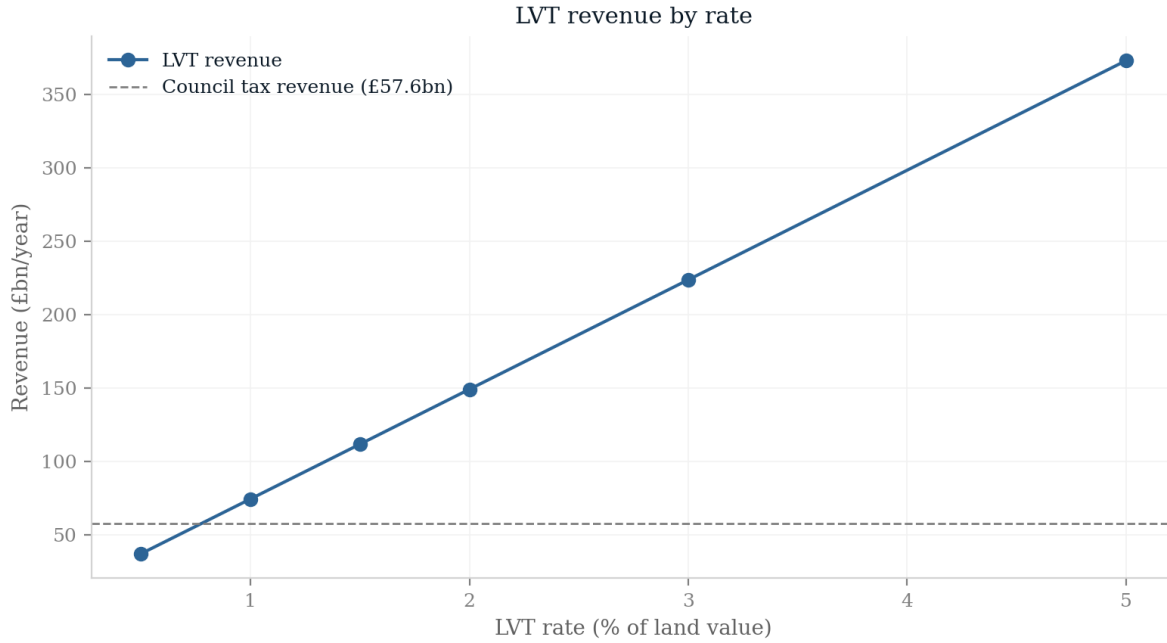


Figure 4: LVT revenue by rate against the council tax replacement target.

banding structure) substantially exceeds the 0.77 per cent charge on its comparatively modest land holdings. Deciles 9 and 10 lose £991 and £966 per year respectively: their average land holdings of approximately £420,000–£443,000 attract LVT liabilities of £3,200–£3,400 against council tax savings of £2,200–£2,500. In percentage terms the loss is larger for decile 9 (–1.3 per cent) than for decile 10 (–0.7 per cent), because top-decile incomes are considerably higher while average land holdings are only slightly larger.

4.4 Distributional impact by wealth decile

Table 4 and Figure 6 report the corresponding results when households are ranked by total wealth rather than income. The bottom wealth decile, which owns no land, retains its full council tax saving of £927 per year; wealth deciles 2–7 gain between £484 and £1,464 on average; decile 8 approximately breaks even (–£296); decile 9 loses £1,042; and the top wealth decile — averaging over £1 million of land — loses £5,573 per year, with an average LVT liability of £8,230 against council tax savings of £2,657, and 98.3 per cent of its households losing. The incidence of the reform thus tracks land wealth closely, consistent with the design of the tax.¹

¹Revenue neutrality holds for the aggregate tax swap — LVT revenue equals abolished council tax revenue at £57.6 billion — but the per-decile average net-income changes reported here need not sum to zero across deciles. They are per-household averages of the change in net income, which incorporates benefit interactions (notably council tax reduction) as well as the two tax lines, and decile group sizes differ. The population-weighted aggregate net-income change is identical whether households are grouped by income decile or by wealth decile: the two decile charts show the same set of households, merely re-sorted.

Table 3: Impact of the 0.77% budget-neutral LVT by income decile

Income decile	Avg. LVT (£)	Avg. CT saved (£)	Avg. net change (£)	% of net income	Winners (%)	Losers (%)
1	979	1,460	+481	+2.3	76.5	20.8
2	1,438	1,457	+20	+0.1	75.5	23.3
3	1,429	1,488	+59	+0.2	72.1	27.0
4	1,129	1,515	+386	+1.0	73.7	25.5
5	1,409	1,617	+208	+0.5	71.7	27.1
6	1,702	1,783	+81	+0.2	68.9	30.7
7	1,440	1,952	+513	+0.9	77.0	22.6
8	2,073	2,143	+70	+0.1	68.6	30.3
9	3,233	2,243	−991	−1.3	48.8	50.7
10	3,423	2,458	−966	−0.7	48.6	50.8

Note: “CT saved” denotes the abolished council tax liability net of council tax reduction. Winners and losers do not sum to 100 per cent because a small share of households are unaffected. *Source:* Authors’ calculations using PolicyEngine UK.

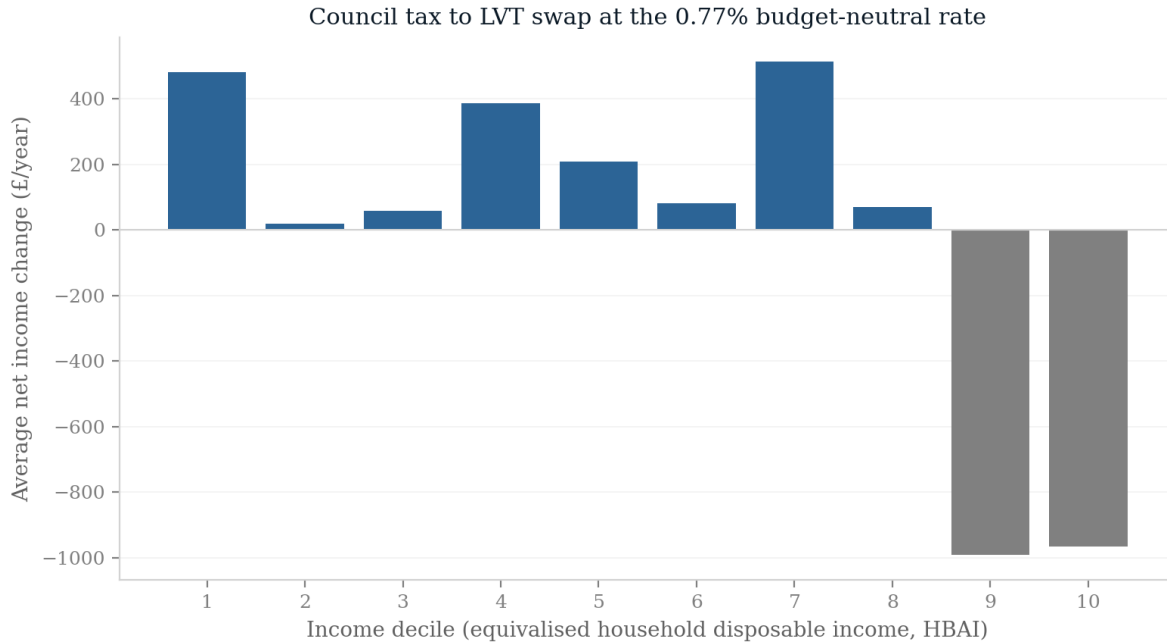


Figure 5: Average net income change by income decile at the 0.77% budget-neutral rate.

Table 4: Impact of the 0.77% budget-neutral LVT by wealth decile

Wealth decile	Avg. land value (£)	Avg. LVT (£)	Avg. CT saved (£)	Avg. net change (£)	Winners (%)	Losers (%)
1	0	0	927	+927	83.6	11.9
2	76	1	864	+863	84.3	11.4
3	2,891	22	1,354	+1,332	91.5	8.1
4	34,576	267	1,731	+1,464	93.8	6.2
5	92,127	712	1,850	+1,138	91.7	8.3
6	141,162	1,090	2,028	+938	89.2	10.8
7	219,879	1,698	2,182	+484	81.7	18.3
8	325,256	2,512	2,216	−296	45.7	54.3
9	446,477	3,448	2,406	−1,042	20.8	79.2
10	1,065,658	8,230	2,657	−5,573	1.7	98.3

Note: Deciles of total household wealth. *Source:* Authors' calculations using PolicyEngine UK.

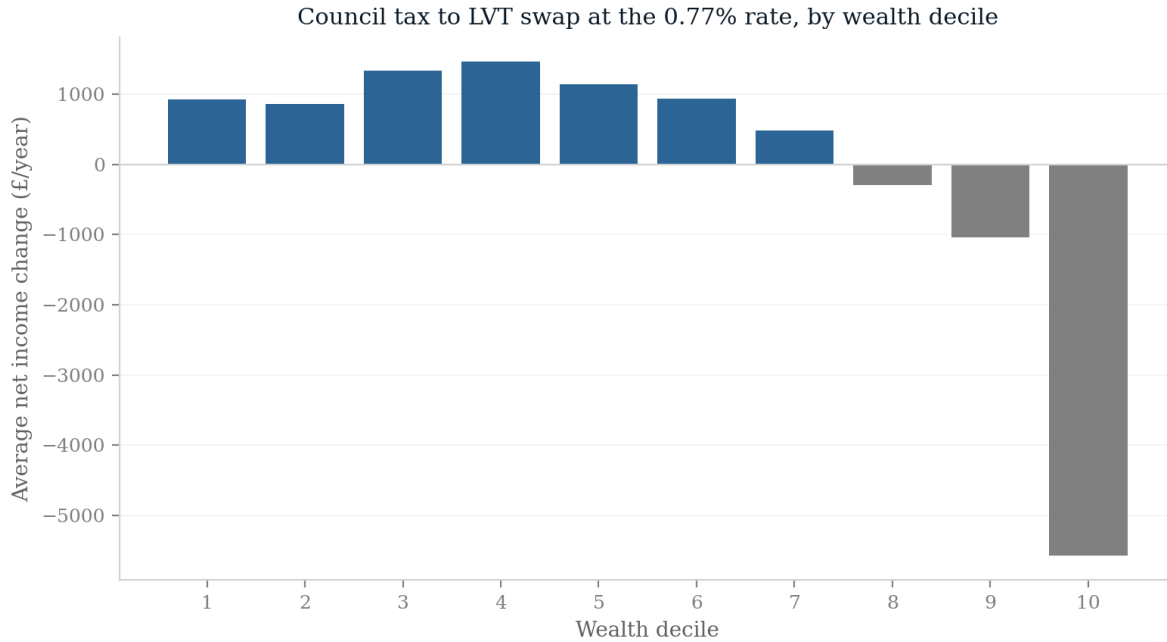


Figure 6: Average net income change by wealth decile at the 0.77% budget-neutral rate.

4.5 Winners and losers within deciles

Decile averages conceal substantial within-decile variation, because land holdings vary widely within any given income band: an outright owner-occupier in London and a private renter in the North East may occupy the same income decile. At the budget-neutral rate, 68 per cent of all households gain. The share of gaining households declines only gradually with income through deciles 1–8 (from 76.5 to 68.6 per cent) before falling to just under one half in deciles 9–10 (Figure 7). Even in the top income decile, 48.6 per cent of households gain — predominantly high earners who rent or own property of modest value — while approximately one in five bottom-decile households loses, typically low-income owners of valuable land. Sorted by wealth, the gradient is considerably steeper: the share of gaining households exceeds 80 per cent in each of the bottom seven wealth deciles and falls to 1.7 per cent in the top decile. The 17.2 per cent of households holding no land gain £832 per year on average, and 81.5 per cent of them gain; the remainder are largely households whose council tax was already fully offset by council tax reduction.

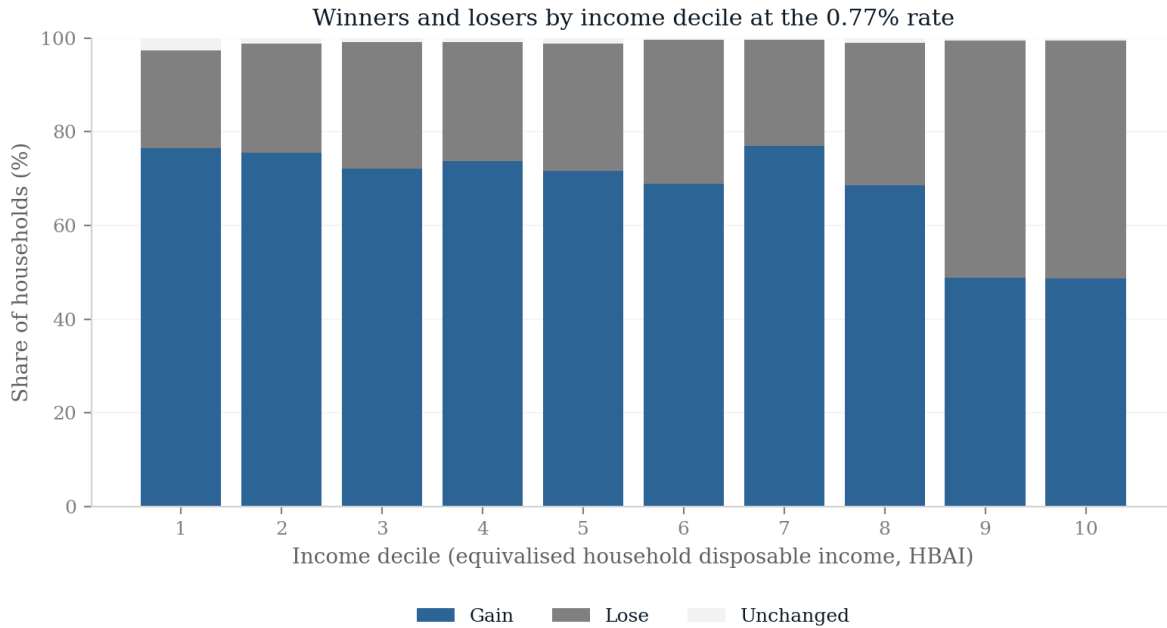


Figure 7: Share of winners and losers by income decile at the 0.77% budget-neutral rate.

4.6 Poverty and inequality

Table 5 reports poverty and inequality across the rate grid, measured against baseline-fixed absolute poverty thresholds. At the budget-neutral 0.77 per cent rate, absolute BHC poverty falls from 12.47 to 11.82 per cent (−0.65 percentage points) and AHC poverty from 15.48 to 14.43 per cent (−1.04 points): for many low-income households, council tax savings exceed LVT liabilities, moving some above the poverty threshold. The Gini coefficient of equivalised household net income is essentially unchanged, rising by 0.0004 from its baseline of 0.366. The tax burden moves sharply up the wealth distribution (Section 4.4), but because land wealth

correlates imperfectly with income, losses in income deciles 9–10 are approximately offset, in Gini terms, by losses among asset-rich households located in lower income deciles.

The grid indicates that these results are sensitive to the rate. At 0.5 per cent, which reduces net revenue by £20.3 billion, poverty falls further (BHC -0.89 , AHC -1.42 points) and the Gini declines slightly (-0.0028). At 1 per cent, which raises £17 billion of net revenue, BHC poverty is marginally above baseline ($+0.22$ points) while AHC poverty remains below it. At higher rates, poverty and measured income inequality rise substantially — at 5 per cent, BHC poverty rises by 11.5 points and the Gini by 0.10 — because the static analysis levies cash charges on asset-rich, income-poor households with no offsetting use of the additional revenue. These upper-grid figures should be interpreted as the gross incidence of the tax alone rather than as complete reform packages: any practical proposal at higher rates would recycle the net revenue. The wealth Gini (0.7038) is mechanically unchanged, as the simulation does not model asset-price responses.

Table 5: Poverty and inequality by LVT rate (council tax abolished throughout)

Rate	Poverty BHC (%)	Δ BHC (pp)	Poverty AHC (%)	Δ AHC (pp)	Δ Gini
Baseline	12.47	—	15.48	—	—
0.5%	11.58	-0.89	14.06	-1.42	-0.0028
0.77%	11.82	-0.65	14.43	-1.04	$+0.0004$
1.0%	12.69	$+0.22$	15.22	-0.26	$+0.0034$
1.5%	14.10	$+1.63$	16.58	$+1.10$	$+0.0111$
2.0%	15.98	$+3.51$	17.90	$+2.42$	$+0.0203$
3.0%	19.55	$+7.08$	22.15	$+6.67$	$+0.0427$
5.0%	24.01	$+11.53$	27.04	$+11.56$	$+0.1032$

Note: Absolute poverty against baseline-fixed thresholds, before (BHC) and after (AHC) housing costs. Gini refers to equivalised household net income; baseline value 0.366. Rates above 0.77% raise net revenue that is not recycled in the simulation. *Source:* Authors’ calculations using PolicyEngine UK.

5 Discussion

5.1 Summary of findings

Our simulations indicate that a revenue-neutral replacement of council tax with a 0.77 per cent flat land value tax would leave 68 per cent of households better off, raise the average net income of households in each of income deciles 1–8, reduce absolute poverty by 0.65 percentage points before housing costs, and shift the tax burden substantially up the wealth distribution, while leaving the Gini coefficient of equivalised household net income essentially unchanged. The dissociation between the wealth-decile and income-Gini results suggests a general methodological point: distributional statistics computed over the income distribution can be nearly uninformative about a reform whose incidence is organised by wealth. An LVT is a tax on a stock that is highly concentrated — we estimate that the top wealth decile holds 48.5 per cent of household land, and the wealth Gini is 0.70 against 0.37 for income — assessed on households whose position in the income distribution is only weakly related to that stock.

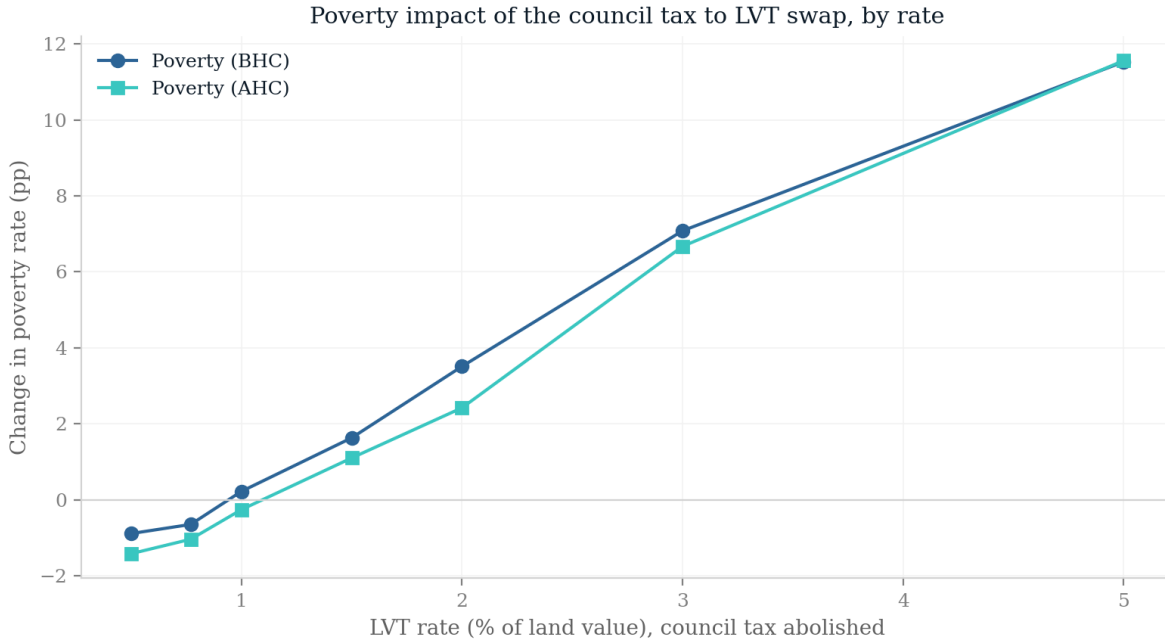


Figure 8: Poverty and Gini changes across the LVT rate grid.

The efficiency case, which our static framework does not quantify, points in the same direction as the equity case. Whereas council tax is levied on the value of dwellings, including improvements, an LVT imposes no charge on constructing, extending or upgrading property, and its base is immobile (George, 1879; Oates and Schwab, 1997).

5.2 Limitations

Several caveats qualify the results.

Static incidence. We assign the full burden to current landowners, with no behavioural response and no capitalisation. Standard theory predicts that an anticipated recurrent land tax capitalises into lower land prices (Feldstein, 1977), so part of the burden would fall on owners as a one-off wealth loss at announcement rather than as a permanent flow; conversely, abolishing council tax would be expected to capitalise into higher property prices. Our flow-based accounting is therefore best interpreted as the impact incidence in the initial years of the reform.

Regional land shares. Equation (2) applies a single land share λ_r to every property in a region. In practice land shares vary within regions — they are higher in urban centres and lower for new-build dwellings on inexpensive land — so we are likely to understate within-region heterogeneity in LVT liabilities, although decile-level averages should be less affected.

Corporate land allocation. We allocate £2.06 trillion of corporate land to households in proportion to their measured corporate wealth. This abstracts from foreign ownership of UK

corporate equity, which would shift part of the burden abroad and render the reform more favourable to UK households than we report, and it assumes full pass-through of the corporate-sector tax to shareholders rather than to workers or consumers.

Northern Ireland. Northern Ireland levies domestic rates rather than council tax; the simulated reform leaves rates unchanged, so Northern Irish households pay LVT in addition to their existing property tax. A comprehensive UK-wide reform would fold domestic rates into the replacement, slightly lowering the required rate.

Measurement. Land values are imputed rather than observed: Wealth and Assets Survey property wealth is self-reported, the upper tail of the survey remains thin even after enhancement, and the National Balance Sheet’s land estimates rest on the ONS’s residual valuation method (ONS, 2025). Council tax liabilities are modelled from regional band averages rather than parcel-level records.

5.3 Policy implications and design options

The most salient losing group comprises asset-rich, income-poor households — typically older owner-occupiers of valuable homes, concentrated in London and the South East — for whom an annual charge of 0.77 per cent of land value may represent a substantial share of cash income. Established remedies address this liquidity problem: deferral of the liability, with interest, until sale or death, as operated for property taxes in several US states and recommended by [Mirrlees et al. \(2011\)](#) and [Muellbauer \(2018\)](#); a phased transition over an extended period; or an exempt band of land value per household. Each option sacrifices some revenue or efficiency, but the underlying difficulty is one of liquidity rather than solvency, since the households concerned are by construction wealthy.

An alternative reform family would replace council tax with a proportional tax on total property value (structures plus land), as proposed by [Muellbauer \(2005\)](#) and modelled by [Corlett and Gardiner \(2018\)](#). A proportional property tax shares the LVT’s correction of council tax’s regressivity in value and obsolete valuations, and is administratively simpler because market prices are observed; however, it retains the disincentive to improve property and taxes the elastic (structures) margin alongside the inelastic one. Our scope decomposition in Section 4.2 suggests that the difference is quantitatively material: at any given revenue target, including corporate and unimproved land in the base permits a lower rate on each component than a purely residential property tax would require.

5.4 Conclusion

This paper has presented, to our knowledge, the first open-source household-level microsimulation of a revenue-neutral replacement of council tax with a land value tax for the United Kingdom. At the budget-neutral rate of 0.77 per cent, our results suggest that the reform would benefit most households, reduce absolute poverty, and reallocate the burden of recurrent property taxation from council tax’s regressive banded structure to the distribution of land wealth, with the largest losses concentrated in the top wealth decile. Measured income inequality would be essentially unaffected, a result that underscores the importance of examining incidence along the wealth as well as the income distribution. The principal obstacles to implementation are

practical rather than analytical: valuing land separately from structures at scale, and managing the transition for asset-rich, income-poor owners. Both problems are long-standing, and both admit established policy responses. Extending the analysis to incorporate capitalisation, behavioural responses and parcel-level land valuation remains a subject for future research.

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A Appendix

A.1 Impact by income decile at alternative rates

Table 6 reports the average net income change by income decile across the full rate grid, with council tax abolished in every scenario. At 0.5 per cent every decile gains on average, the reform reducing net revenue by £20.3 billion; from 1.5 per cent upwards every decile loses on average, with losses concentrated in deciles 9–10.

A.2 Landless households

Households holding no land — neither residential property nor corporate wealth — make up 17.2 per cent of the population. Because their LVT liability is zero at any rate, their outcome is invariant across the rate grid: an average gain of £832 per year (their abolished council tax bill), with 81.5 per cent winning. The non-winners are predominantly households whose council tax was already fully covered by council tax reduction, for whom abolition changes nothing.

Table 6: Average net income change (£/year) by income decile and LVT rate

Decile	0.5%	0.77%	1.0%	1.5%	2.0%	3.0%	5.0%
1	+826	+481	+192	-442	-1,076	-2,344	-4,880
2	+527	+20	-404	-1,335	-2,265	-4,127	-7,850
3	+563	+59	-362	-1,287	-2,212	-4,063	-7,763
4	+784	+386	+53	-678	-1,409	-2,870	-5,794
5	+705	+208	-207	-1,119	-2,031	-3,855	-7,502
6	+681	+81	-421	-1,523	-2,625	-4,830	-9,238
7	+1,020	+513	+88	-844	-1,776	-3,640	-7,369
8	+801	+70	-541	-1,883	-3,225	-5,909	-11,277
9	+149	-991	-1,944	-4,037	-6,130	-10,317	-18,690
10	+241	-966	-1,975	-4,191	-6,407	-10,840	-19,704

Note: Rates above 0.77% raise net revenue that is not recycled; rates below it reduce net revenue. *Source:* Authors' calculations using PolicyEngine UK.

A.3 Worked single-household example

Consider a household owning a £400,000 home in a region with a land share of 85 per cent, implying a household land value of £340,000. At the budget-neutral rate of 0.77 per cent, its annual LVT on residential land is $0.0077 \times 340,000 = £2,618$; at a 1 per cent rate the liability would be £3,400. If the household also holds £50,000 of corporate wealth, it bears in addition a pro-rata share of the £2.06 trillion corporate land base — in the microsimulation, £50,000 multiplied by the ratio of aggregate corporate land to aggregate weighted corporate wealth, corresponding to attributed land on the order of tens of thousands of pounds. Whether the household gains from the reform depends on its abolished council tax liability: with a typical upper-band bill above £3,000, it approximately breaks even at 0.77 per cent.

We note that the `single_household_example` block in the accompanying results file reports a corporate land allocation of £2.06 trillion for this single test household. This figure is an artifact of executing the allocation formula in a one-household simulation, in which the household constitutes the entire population and therefore absorbs the full corporate land base; we accordingly exclude it from the example above.

A.4 Data and parameter summary

Table 7: Key data sources and parameters

Item	Value	Source / method
Microdata	EFRS 2023–24	FRS + SPI quantile-forest enhancement
Simulation year	2026	PolicyEngine UK
Council tax, gross	£61.9bn	Modelled; calibrated to OBR receipts
Council tax reduction	£4.3bn	Modelled
Council tax, net (R_{CT})	£57.6bn	Equation (1)
Household land	£5.40tn	WAS property wealth $\times$ regional land shares
Corporate land	£2.06tn	ONS NBS; allocated by corporate wealth
Total land base (L)	£7.46tn	ONS NBS 2024 (£7.10tn), OBR-uprated
Regional land shares	42%–85%	North East to London
Budget-neutral rate (r^*)	0.77%	R_{CT}/L
Reform parameters	<code>lvt.rate,</code> <code>abolish_ct</code>	<code>gov.contrib.ubi_center.land_value_tax.rate;</code> <code>gov.contrib.abolish_council_tax</code>